2.1 Marginal Analysis and Elasticity

Video: Marginal Analysis, Roller Coasters, Elasticity, and Van Gogh (Crash Course Economics)

From Macro to Micro

Microeconomics looks at individual _____ and the decision-making of consumers, business owners, and governments.

Marginal Analysis

For economists, the word "marginal" means about the same thing as _____.

Marginal analysis looks at how people, businesses, and governments make decisions by comparing additional _____ and additional costs.

A business hires another worker if that worker brings in more _____ than marginal cost (wages and benefits).

A city keeps building parks until the marginal benefit of another park is less than the _____.

Diminishing Marginal Utility

The Law of _____: as you consume more of anything, you eventually get less and less additional satisfaction.

When economists talk about consumers, "utility" means the _____ or happiness people get from a good or service.

Economists measure satisfaction in _____, which are like happiness points.

Roller coaster example: even if the ride is free, Stan still pays a cost, which is how long he has to wait in _____.

Supply, Demand, and Efficiency

The demand curve slopes downward because of diminishing marginal utility, so it is really a _____ curve.
Supply curves are really just marginal cost curves.
Equilibrium is _____ because the marginal benefit of the last unit equals its marginal cost.

Why does water cost less than diamonds? This is called the _____. Water has high total utility, but it is plentiful, so its marginal utility is low.

Diamonds are extremely _____, so the additional satisfaction of another one is high and people pay a higher price.

Scarcity alone does not make something valuable. Utility is subjective, and demand depends on the _____ of consumers.

Elasticity

When the price of strawberries rises, people buy cherries or blueberries instead. This is the _____.

_____ shows how sensitive quantity is to a change in price.

Demand for gasoline is relatively _____: a large change in price leads to a small change in quantity demanded, so the demand curve is steeper.

An example of perfectly inelastic demand is _____ for diabetics, because they need it to live.

Pizza has many close substitutes, so its demand is relatively _____ and the demand curve is flatter.

Elasticity of Supply	Example
Relatively inelastic (steep curve)	An _____, which is difficult and time consuming to build
Relatively elastic	T-shirts and strawberries
Perfectly inelastic	

Think About It

Describe a time you used marginal analysis to decide whether to do "one more" of something. What was the additional benefit, and what was the additional cost? _____